Back **Week Six Quiz**
Graded Assignment

Due Mar 21, 11:59 PM CET

1. In a decision tree, decision nodes are represented by circles. 1 point

- True
- False

2. Ignoring risk, in decision tree analysis we choose the option which will maximize the expected payoff. 1 point

- True
- False

3. A decision-maker who prefers the certain outcome of £z over a risk project with a mean (EMV) of £z is: 1 point

- risk-averse
- risk-neutral
- risk-loving

4. In linear regression analysis, the dependent variable is typically denoted by: 1 point

- x
- y
- ϵ

5. Stock returns are defined as: 1 point

- $\frac{\text{current price} - \text{previous price}}{\text{previous price}}$
- $\frac{\text{previous price} - \text{current price}}{\text{current price}}$
- $\frac{\text{current price} - \text{previous price}}{\text{current price}}$

6. If a stock has a beta of 0.75, then: 1 point

- if the market index $\uparrow$ by 0.75%, then the stock $\uparrow$ by 0.75%
- if the market index $\uparrow$ by 0.75%, then the stock $\uparrow$ by 1%
- if the market index $\uparrow$ by 1%, then the stock $\uparrow$ by 0.75%

7. Constrained optimisation problems are best modelled using: 1 point

- decision tree analysis
- linear regression
- linear programming

8. In a standard product mix problem, the decision variables are the: 1 point

- prices of the goods
- quantities of the goods

9. The results of a Monte Carlo simulation are never sensitive to the choice of input probability distribution(s). 1 point

- True
- False

10. In Monte Carlo simulation, the expected outcome can be calculated using the: 1 point

- sample mean of the simulated values of the outcome variable
- sample variance of the simulated values of the outcome variable